

How Are Data Centers Taxed?

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How Are Data Centers Taxed, and How Much Do They Actually Pay? Data centers generate billions in tax revenue, yet debates persist about whether these contributions offset their substantial tax breaks and resource consumption. Conversations surrounding data centers and taxes tend to focus not on how much they pay in tax but on how much they don't pay, thanks to tax abatements and other special subsidies provided by local and state governments. This doesn't mean, however, that data centers pay no taxes. Most do, although the types and amounts vary widely between regions, types of data centers and periods of each data center's life cycle. To gain a sense of what the tax scene for data centers looks like, Data Center Knowledge took a close look at tax policies for data centers across the US. Here's what we found.

Types of Taxes for Data Centers An understanding of how data centers are taxed starts with a look at the types of taxes that apply to data centers. In most cases, data center operators are subject to three categories of tax:

- **Property tax:** Local jurisdictions impose property taxes on data centers, as they do for most other types of commercial properties.
- **Sales tax:** Equipment purchased by data center operators, such as servers and networking equipment, is typically subject to sales tax.
- **Income tax:** When data centers earn operating income (by, for example, renting colocation space), that income is generally subject to corporate income tax at the federal, state and (possibly) local levels. Prince William County in Virginia saw data center tax revenue surge from \$420,000 in 2012 to \$23.3 million in 2023 as facilities multiplied and incentives expired.

Image: Data Center Knowledge. Why Data Center Taxes Can Be Unpredictable Although the types of taxes that data centers pay may seem straightforward enough, figuring out what, if anything, a given data center actually pays in taxes can be challenging. This is because a variety of variables impact the actual taxes paid.

Tax Abatements Perhaps the greatest complicating factor in data center taxation is the abundance of tax abatements available to data center operators. Federal, state and local authorities offer various incentives for building and operating data centers, such as tax credits and temporary or permanent exemption from paying certain types of taxes. Some of these incentives (like those in the Inflation Reduction Act) apply to data centers in general. Others are the product of special deals that companies negotiate on a case-by-case basis with governments.

Multiple Tax Authorities Data centers typically pay taxes at the national, state and local levels. However, the types of taxes they pay can vary between each layer of government. Sales taxes are typically only imposed at the state or local level, for example, while property taxes are almost always local. Coupled with the fact that data centers may benefit from tax breaks offered by one level of government but not others, the mix of tax authorities makes it challenging to predict exactly how many taxes a given facility will actually pay.

Lack of Direct Data Center Revenue In general, data centers only pay

corporate income tax if they generate revenue. Not all data centers do this because many don't sell goods or services; they simply house servers. By qualifying as business expenses rather than revenue generators, they reduce the tax liability of their parent companies. Thus, when it comes to income tax, at least, many data centers – especially hyperscale data centers owned by large companies – don't generate tax revenue because they don't generate direct operating income.

Geographic Dispersion Geographic nuances related to where business taxes are assessed (or, more specifically, where tax authorities deem business to have taken place) can impact how much data centers pay in tax and who receives the tax revenue. For example, when a data center purchases equipment from an out-of-state supplier, it may pay sales tax at the rate imposed by the supplier's state. Alternatively, sales tax may be imposed by the state in which the data center is based. The difference depends on whether the purchase is subject to origin-based or destination-based sales tax policy. It's also possible that the data center will pay no sales tax at all on equipment purchase, since some states, such as New York, have carved out special sales tax exemptions for data centers.

Growing Data Center Tax Revenues Although systematic data about total taxes paid by data centers is elusive, the available information suggests that they are paying increasing amounts in taxes overall. For example, Prince William County in Virginia, a hub for data centers, reported in 2023 that tax revenue generated by data centers had grown from \$420,000 in 2012 to \$23.3 million in 2023 – likely due to massive growth in data centers in the area combined with the expiration of some data center tax abatements. It's likely that the total taxes generated by data centers will continue to increase in the coming years as more facilities come online. Whether that growth will satisfy critics who argue data centers receive excessive tax benefits relative to the jobs they generate and the resources they consume, however, remains to be seen.